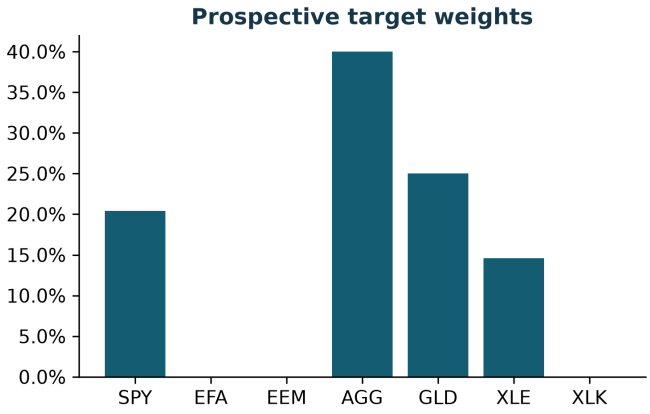
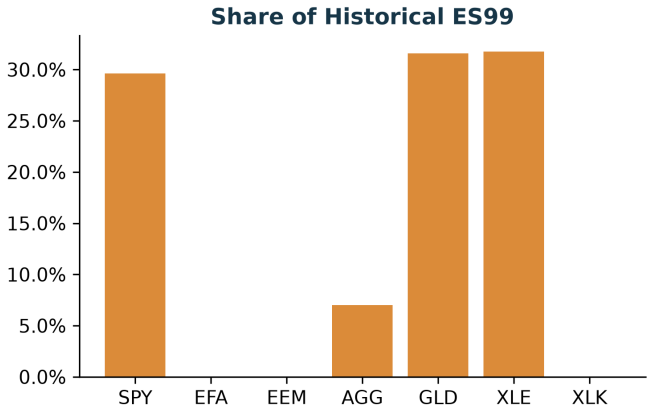
# Endowment decision / at a glance

## CONDITIONAL ADJUST

Retain the constrained rule as a candidate; resolve tail budgets, funding and human mandate approval before implementation.

| Evaluation 2021-2026 | Min variance | 60/40 reference |
|---|---|---|
| CAGR | 7.63% | 8.41% |
| Annual volatility | 8.80% | 10.66% |
| Max drawdown | -16.78% | -20.77% |
| Sharpe | 0.506 | 0.502 |




| Risk / funding lens | Evidence |
|---|---|
| Proposed nominal hurdle | 6.75% = spending 4% + inflation 2.5% + additional fee 0.25% |
| Current recent HS99 VaR / ES | 1.54% / 2.03% |
| Full-history current-target HS99 ES | 2.50% |
| Latest250 Basel99 | HS:4 green; Normal:9 yellow; educational only |
| Cash income context | Ending path TTM distribution yield 2.19%; not sufficient alone for 4% spending |

Rule:504 prior sessions, monthly minimum variance, long-only; target ETF≤40%, equity≤35%, AGG+GLD≥40%. Drift is monitored, not clipped. Trading cost5bps per sum-absolute-trade-weight. Risk is one-day gross; performance is net of trading costs, before spending / additional fee.

Frozen r3 data through 30 Oct2026; current weights are a prospective target, not already executed. References need not meet mandate caps. Registered rule unchanged after evaluation. Day-level RF and ex-post CPI limitations remain. AI materially assisted this work; independent human validation PENDING. Source-of-truth bundle 1c7bd6007fe22b014b25.